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Om Prakash v. Reliance General Insurance And Another

Supreme Court Of India (Oct 4, 2017)

CASE NO.

Civil Appeal No. 15611 of 2017, decided on October 4, 2017

DISPOSITION

ALLOWED

JUDGES

- R.K Agrawal
- S. Abdul Nazeer, JJ.

ATTORNEY

- Harish Pandey and Manish Kumar, Advocates, for the Appellant;
- Garvesh Kabra, Advocate, for the Respondents.

SUMMARY**Supreme Court of India – Civil Appeal on Insurance Claim Repudiation****Factual and Procedural Background**

The appellant insured his truck (Registration No. HR 21 F 0462) with Reliance General Insurance Co. Ltd. for the period 10-03-2010 to 09-03-2011. The vehicle was stolen at Chopanki, Bhiwari, Rajasthan on 23-03-2010. An FIR under Section 379 IPC was lodged the next day. After assisting Rajasthan Police in searching for the truck, the appellant submitted an insurance claim on 31-03-2010.

The insurer's investigator confirmed the *theft* and the Corporate Claims Manager approved a claim of Rs 7,85,000. Nevertheless, the insurer repudiated the claim citing breach of Condition 1, which requires immediate intimation of loss. The District Forum, State Commission and National Commission all dismissed the appellant's complaint/appeals. The present appeal challenges the National Commission's order dated

12-02-2014.

Legal Issues Presented

1. Whether an eight-day delay in intimating the insurer of the *theft* constituted a breach of Condition 1 sufficient to justify repudiation of the claim.
2. Whether the consumer fora erred in dismissing the claim without considering the appellant's explanation for the delay.

Arguments of the Parties

Appellant's Arguments

- The delay was unavoidable because the appellant was accompanying police across various locations in Rajasthan to trace the truck and returned home only on 30-03-2010.
- The claim, lodged the very next day, was supported by all required documents.
- The insurer's investigator verified the *theft* and recommended payment of Rs 7,85,000; hence repudiation is arbitrary.
- The National Commission failed to consider the explained delay and the investigator's findings.

Respondents' Arguments

- Condition 1 mandates immediate notice; an eight-day delay constitutes breach.
- Repudiation was therefore justified, and the National Commission rightly upheld it.

Table of Precedents Cited

No precedents were cited in the provided opinion.

Court's Reasoning and Analysis

The Court observed that while prompt intimation is required, genuine claims should not be rejected on technicalities when delay is satisfactorily explained. Key points included:

- Affidavits from the appellant and driver showed they were compelled to assist police until 29-03-2010.
- The insurer's own investigator confirmed the *theft* and recommended payment.
- Consumer Protection Act is remedial; rejecting genuine, verified claims on narrow technical grounds erodes consumer confidence.

The Court concluded the National Commission failed to evaluate the appellant's

explanation and the positive investigator's report.

Holding and Implications

Appeal Allowed – Orders of National Commission, State Commission, and District Forum Set Aside.

Respondents 1 and 2 must pay Rs 8,35,000 (including Rs 50,000 compensation) with 8% interest per annum from the date of the claim petition until payment, within eight weeks. No order as to costs.

Implications: The ruling reinforces that minor, explained delays in notifying insurers should not defeat genuine claims, promoting a consumer-friendly approach in insurance disputes.

JUDGMENT

S. Abdul Nazeer, J.— Delay condoned. Leave granted. The appellant got his truck, bearing Registration No. HR 21 F 0462, insured with Respondent 1 herein i.e Reliance General Insurance Co. Ltd., w.e.f 10-3-2010 to 9-3-2011. The said vehicle was stolen from Chopanki, Bhiwari, Rajasthan on 23-3-2010 at about 9.00 p.m Consequently, an FIR was lodged, on 24-3-2010, in Police Station Tapukara, District Alwar, Rajasthan, under Section 379 IPC. Thereafter, the appellant visited the office of the first respondent but the office was found to be closed. Then the appellant went to the place of *theft* and met the driver and then he went to the police official concerned. On 29-3-2010, the appellant along with the truck driver, went with the police officials for their assistance to search the vehicle. The appellant reached his village on 30-3-2010. On 31-3-2010, the appellant lodged the insurance claim with the respondent Company at Hissar and provided the necessary documents which were demanded by the respondent Company.

2. Pursuant to the said claim, an investigator was appointed by the respondent Company, which, after verification, confirmed the factum of *theft* . Consequently, the Corporate Claims Manager approved an amount of Rs 7,85,000 for the said claim of the appellant. Thereafter, the appellant made several requests and demands to the respondent Company, inter alia, seeking speedy processing and disposal of his insurance claim. Finally, the appellant served a legal notice, dated 9-8-2011, to the respondent Company. However, the respondent Company repudiated the insurance claim of the appellant citing breach of Condition 1 i.e immediate information about the loss/*theft* of the vehicle.

3. Being aggrieved, the appellant filed complaint before the District Consumer Disputes Redressal Forum, Hissar (for short “the District Forum”), under Section 12 of the **Consumer Protection Act** , 1986, inter alia, seeking a direction to the respondent Company for payment of claim amount with an interest @ 18% p.a, along with compensation of Rs 1,00,000 to the appellant. Written statement was filed by the respondents herein opposing the claim of the appellant. The District Forum, by order dated 13-6-2013, dismissed the complaint of the appellant thereby holding that there is no

deficiency of service on the part of the respondents.

4. The appellant herein filed an appeal challenging the said order of the District Forum, before the State Consumer Disputes Redressal Commission, Haryana (for short “the State Commission”) at Panchkula. The State Commission by an order dated 23-10-2013 dismissed the said appeal. This order was challenged by the appellant by way of revision petition before the National Consumer Disputes Redressal Commission (for short “the National Commission”). This revision petition has been dismissed by the National Commission by an order dated 12-2-2014 [2014 SCC OnLine NCDRC 965](#). The appellant has questioned the legality and correctness of the said order in this appeal.

5. The learned counsel for the appellant contended that the appellant, immediately after getting the information about the *theft* of the vehicle, went to the place of *theft* and met the police officials along with the truck driver. Consequently, he got busy with the police while visiting many cities in Rajasthan for the search of the said vehicle and returned to his village on 30-3-2010 and lodged the insurance claim on 31-3-2010 before the respondent Company. The appellant has assigned cogent reasons for the delay of 8 days in lodging the complaint. The National Commission has dismissed the petition filed by the appellant without taking into consideration the reasons assigned for the delay. It is argued that the investigator appointed by the respondent has verified the factum of *theft* and that the Corporate Claims Manager approved the report of investigator, thereby recommending the payment of Rs 7,85,000 towards claim.

6. On the other hand, the learned counsel appearing for the respondents submits that as per Condition 1 of the insurance policy, the information of *theft* ought to have been given to the respondent Company immediately upon the occurrence of *theft*. The claim was filed after a delay of 8 days from the occurrence of *theft*. In the said circumstance, the National Commission was justified in rejecting the revision petition.

7. We have carefully considered the submissions of the learned counsel made at the Bar and perused the materials placed on record.

8. The appellant, owner of the truck in question, is the resident of Muzadnagar Village, Tehsil Hansi, District Hissar, State of Haryana. The *theft* of the vehicle had taken place on 23-3-2010 at Chopanki, Bhiwari, Rajasthan. The FIR was lodged in Police Station Tapukara, District Alwar on 24-3-2010 and the claim petition was filed on 31-3-2010. Dinesh, the truck driver, had filed an affidavit before the District Forum stating that the owner of the truck had reached the place of occurrence of *theft* and met him and also the police official concerned. The police had asked him and the owner to stay with them in order to help them for tracing out the truck. The police had also asked them to collect necessary documents in relation to the said truck. They were, consequently, busy with Rajasthan Police in searching the vehicle. They visited many places in Rajasthan. The police had compelled the appellant to accompany them while searching the truck. It is only on 29-3-2010, the appellant went back and reached his village on 30-3-2010. The appellant had also filed a similar affidavit before the State Commission explaining the reasons for the delay in informing *theft* of the vehicle.

9. Condition 1 of the insurance policy states that notice shall be given in writing to the company immediately upon the occurrence of any accidental loss or damage in the event of any claim and thereafter the insured has to give all such information and assistance as the Company may require.

10. It is common knowledge that a person who has lost his vehicle may not straightaway go to the insurance company to claim compensation. At first, he will make efforts to trace the vehicle. It is true that the owner has to intimate the insurer immediately after the *theft* of the vehicle. However, this condition should not bar settlement of genuine claims, particularly when the delay in intimation or submission of documents is due to unavoidable circumstances. The decision of the insurer to reject the claim has to be based on valid grounds. Rejection of the claims on purely technical grounds in a mechanical manner will result in loss of confidence of policy-holders in the insurance industry. If the reason for delay in making a claim is satisfactorily explained, such a claim cannot be rejected on the ground of delay. It is also necessary to state here that it would not be fair and reasonable to reject genuine claims which had already been verified and found to be correct by the investigator. The condition regarding the delay shall not be a shelter to repudiate the insurance claims which have been otherwise proved to be genuine. It needs no emphasis that the **Consumer Protection Act** aims at providing better protection of the interest of consumers. It is a beneficial legislation that deserves liberal construction. This laudable object should not be forgotten while considering the claims made under the Act.

11. In the instant case, the appellant has given cogent reasons for the delay of 8 days in informing the respondent about the incident. The investigator had verified the *theft* to be genuine and the payment of Rs 7,85,000 towards the claim was approved by the Corporate Claims Manager, which, in our opinion, is just and proper. The National Commission, therefore, is not justified in rejecting the claim of the appellant without considering the explanation for the delay. We are also of the view that the claimant is entitled for a sum of Rs 50,000 towards compensation.

12. Hence, the appeal is allowed and the orders of the National Commission, the State Commission and the District Forum are set aside and the claim petition filed by the appellant is allowed. Respondents 1 and 2 are directed to pay a sum of Rs 8,35,000 to the appellant with interest @ 8% p.a from the date of filing of the claim petition till the date of payment. The payment, as above, shall be made within a period of 8 weeks from today.

13. There will be no order as to costs.